When expenditures exceed tax revenue, a government accumulates debt. A portion of taxes may be used to serve past debts. Governments also use taxes to fund welfare and public services. These services can include education systems, pensions for the elderly, unemployment benefits, and public transportation. Energy, water and waste management systems are also common public utilities.

According to the proponents of the list theory of money creation, taxes are not needed for government revenue, as long as the government in question is able to issue flat money. The purpose of taxation is to maintain the stability of the currency, express public policy regarding the distribution of wealth, subsidizing certain industries or population groups or isolating the costs of certain benefits, such as highways or social security.

Summary

- Taxation is a term used for when a government taxing authority levies or imposes a tax. The term 'taxation' applies to all types of involuntary levies, from income to capital gains to estate taxes.
- Taxes are compulsory payments to the government without expectations of direct or return or benefit to the taxpayers.
- Proportional Taxation is a method, where the rate of tax is same regardless size of the income.
- Governance is a crucial component in the smooth running of country affairs.
- A Direct tax is the tax whose burden is directly borne by the person on whom it is imposed, i.e., its burden cannot be shifted to others.
- Estate is charged from successor of inherited property. It is not desirable to avoid payment of taxes .
- Indirect Tax is a tax whose burden can be shifted to others.
- Excise duty in India is levied by the Central Government.
- Goods and Services Tax is a kinds of tax imposed on sale, manufacturing and usage of goods and services.
- The levying of taxes aims to raise revenue to fund governing or to alter prices in order to affect demand. States and their functional equivalents throughout history have used money provided by taxation to carry out many functions.

References

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Glossary

1.	Equality	equal opportunities	சமத்துவம்
2.	Convenience	the state of being able to proceed with something without difficulty	வசதி
3.	Proportional	equivalent	விகிதாசார
4.	Regressive	taking a proportionally greater amount from those on lower incomes	பிற்போக்கு வரி
5.	Inherited	received as an heir at the death of the previous holder	மரபுரிமை
6.	Accumulate	gather	குவிக்க
7.	Subsidize	contribute to	மானியம்
8.	Persecution	unfair treatment of a person or a group, especially because of their religious or political beliefs	துன்புறுத்தல், அடக்குமுறை

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